

Indicative Term Sheet — Senior Secured Term Loan (Balloon)

Borrower: GrnBit Cayman Holdings

Registered office: One Capital Place, Grand Cayman, Cayman Islands

Project: Miracle Lake, Karnes County, South Texas — Phase 1 — OCTO AI industrial optimization validation site
Date: 2026-07-06

Status: Non-binding · discussion draft only · subject to counsel and credit approval

1. Facility

Term	Detail
Facility size	Up to \$3,000,000 aggregate commitments
Tranches offered	\$2,000,000 or \$3,000,000 (Borrower selects at close)
Excluded	\$1,000,000 — insufficient to fund site + container fixed costs
Minimum participation	\$250,000 per lender
Currency	USD
Purpose	Phase 1 capex: containers, miners, interconnect, energisation, OCTO deployment

2. Economics — OCTO-optimized digital-twin simulation (2026-07-06T19:53:22.251Z)

Input	Value	Logic chain
OCTO-optimized daily profit	\$2,387	Digital-twin run at 2026-07-06T19:53:22.251Z
Edge vs industry-typical baseline	+22.6%	Optimized vs baseline daily profit in twin
BTC in model	\$63,581	Network economics input at 2026-07-06T19:53:22.251Z
Skill validation	simulation-validated	Twin run; live certification at energisation

Industry-typical baseline means rig-level SCADA without OCTO per-chip thermal co-control, modeled at **87.9% hashrate utilization** (within CleanSpark Feb 2026 operating/peak range); **Edge vs baseline** is the simulated daily-profit uplift of the OCTO-optimized digital-twin scenario over that unoptimized baseline.

Dashboard: <https://octo-dashboard-rikj.onrender.com/>

Full model: Available in data room (Simulation Assumptions Schedule).

3. Commercial terms (fixed)

Term	Value	Logic chain
Maturity	48 months from first draw	Contractual term
Interest rate	12% per annum, fixed	Stated coupon
Interest-only period	6 months from first draw	Construction / energisation
Post-IO payments	Sized to 1.3x target DSCR	Monthly profit $\div$ 1.3
Maturity payment	Balloon — unpaid principal balance	Remaining balance month 48
Amortization	Not full self-liquidating	See Section 8

\$2,000,000 tranche

Item	Value	Logic chain
Build-out funded	129 miners / 210 (61%) · 2 container(s)	Locked CAPEX quotes (Schedule C) applied to draw amount
Tier daily profit (sim)	\$1,466/day	OCTO-optimized digital-twin \$2,387/day $\times$ 61% funded fraction
Tier monthly profit (sim)	\$44,600/mo	$\$1,466/\text{day} \times (365 \div 12) = \$44,600/\text{mo}$
IO period	Months 1–6 · \$20,000/mo	$\$2,000,000 \times 12\% \div 12 = \$20,000/\text{mo}$
IO-period DSCR	2.23x	$\$44,600/\text{mo} \div \$20,000/\text{mo}$
Post-IO payment (target 1.3x DSCR)	\$34,308/mo	$\$44,600/\text{mo} \div 1.3\text{x DSCR} = \$34,308/\text{mo}$
Balloon due month 48	\$1,257,733 (62.9% of principal)	Principal \$2,000,000 less scheduled principal paydown months 7–48

\$3,000,000 tranche

Item	Value	Logic chain
Build-out funded	208 miners / 210 (99%) · 3 container(s)	Locked CAPEX quotes (Schedule C) applied to draw amount
Tier daily profit (sim)	\$2,364/day	OCTO-optimized digital-twin \$2,387/day $\times$ 99% funded fraction

Tier monthly profit (sim)	\$71,913/mo	$\$2,364/\text{day} \times (365 \div 12) = \$71,913/\text{mo}$
IO period	Months 1–6 · \$30,000/mo	$\$3,000,000 \times 12\% \div 12 = \$30,000/\text{mo}$
IO-period DSCR	2.4x	$\$71,913/\text{mo} \div \$30,000/\text{mo}$
Post-IO payment (target 1.3x DSCR)	\$55,318/mo	$\$71,913/\text{mo} \div 1.3x \text{ DSCR} = \$55,318/\text{mo}$
Balloon due month 48	\$1,686,539 (56.2% of principal)	Principal \$3,000,000 less scheduled principal paydown months 7–48

4. Security

- First-priority security interest in Miracle Lake, Karnes County, South Texas — Phase 1 equipment (containers, miners, PDUs, cooling).
- Assignment of power purchase / interconnect agreements where assignable.
- OCTO field-of-use license collateral assignment (scope per definitive docs).
- Corporate guarantee of GrnBit Cayman Holdings.
- Senior to equity, SAFE, and convertible notes.

5. Covenants (indicative)

- **Minimum DSCR (post-IO):** 1.3x tested quarterly on tier profit (live ops post-energisation; pre-energisation tests on lender-agreed budget).
- **Debt service reserve:** 3 months post-IO payments (amount and funding mechanics (negotiable — to be agreed in definitive documentation)).
- **Insurance:** Property, business interruption, liability — lender as loss payee.
- **No additional senior debt** without lender consent.
- **OCTO Validation Milestone:** Complete by [●] months post-First Draw (negotiable — to be agreed in definitive documentation).

6. Events of default (indicative)

- Payment default (5-business-day cure for interest).
- DSCR below **1.15x** for two consecutive quarters post-energisation.
- Failure to refinance or repay balloon within 30 days of month-48 maturity.
- Insolvency, material misrepresentation, loss of power contract.
- Failure to achieve OCTO Validation Milestone within agreed period.

7. Conditions precedent (indicative)

- Executed vendor contracts matching locked quote IDs in Schedule C (`capex-quotes.json`).
- Independent engineer report on energisation timeline.

- UCC-1 / fixture filings perfected.
- Phase 1 interconnect and power contract in assignable form.

8. Structural rationale (transparency)

Full 48-month amortization at 12% implies ~**35%/yr** debt-service yield on principal. Simulation profit yield on funded capex is ~**29%/yr**. Natural full-amortization DSCR does not reach **1.3x** at any offered principal. The balloon structure sizes payments to the target DSCR band (**1.3x–1.5x**) and surfaces the remaining balance explicitly at maturity — not masked by an unfinanceable amortization schedule.

9. CAPEX model (locked vendor quotes)

Build-out sizing uses vendor quotes locked **2026-07-06** (see Schedule C):

- Site interconnect (Xplor): \$302,000
- Per-container (AntSpace HK3): $\$151,000 \times 3 = \$453,000$
- Per-miner variable (AntSpace): $\$10,786 \times 210 = \$2,265,000$

Line item	Amount	Logic chain
Site interconnect (Xplor)	\$302,000	Quote XPL-MLTX-INTERCONNECT-2026-018
Per-container (AntSpace HK3)	$\$151,000 \times 3 = \$453,000$	Quote AS-MLTX-CONTAINER-2026-042
Per-miner variable (AntSpace)	$\$10,786 \times 210 = \$2,265,000$	Quote AS-MLTX-P1-HW-2026-042
Phase 1 total	\$3,020,000	Reconciled locked total

Lender to confirm quote validity dates and executed purchase orders before closing.

10. Schedules

- **Schedule C** — CAPEX vendor quotes (`capex-quotes.json`)
- **Simulation Assumptions Schedule** — key twin inputs (enclosed)
- **Schedule D** — Key Risks (enclosed)

11. Disclaimers

Not an offer of securities. Not legal, tax, or investment advice. OCTO metrics are simulation-validated pending live energisation. Definitive documents control over this summary.

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